Business Insights Report

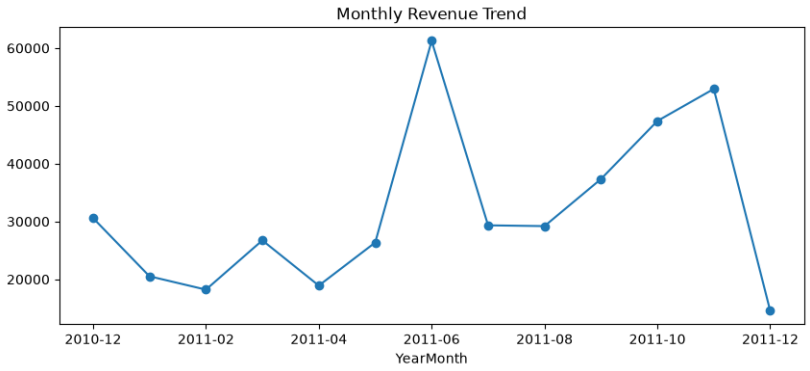
E-Commerce Sales & Customer Intelligence · 1 Dec 2010 to 9 Dec 2011 · 20K-row cleaned sample, valid sales only

£413,320	8,943	3,014	£46.22	52.4%	3.1%
Net revenue	Orders	Identified customers	Avg order value	Repeat customers	Cancelled value

Key findings

- Revenue grew from £20,519 in January to £52,938 in November, driven by order volume; June is inflated by one £38,970 order.
- UK: 89.9% of orders and 86.3% of revenue. International AOV is higher (£62.42 vs £44.39), led by the Netherlands (£323.74) on a very small sample.
- Top 25.4% of customers (765) generate 80% of identified revenue; one order alone is 10.9%.
- Repeat customers are 52.4% of identified customers but 75.8% of identified revenue.
- Champions + Loyal are 42.9% of customers and 66.2% of revenue; At Risk + Lost are 39.9% of customers and 29.7% of revenue.
- Cancellations: 1.72% of lines, 3.29% of invoices (-£13,014, 3.1% of net revenue). No external benchmark was sourced.

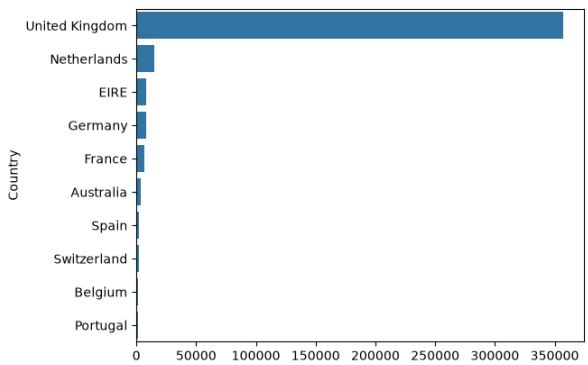
Nine business insights



Monthly revenue (£). June spike = one £38,970 order; December covers only 9 days.

1. Overall revenue and order trend

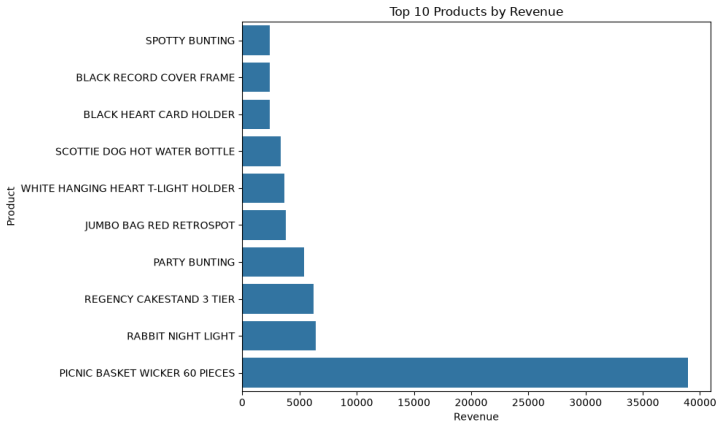
Net revenue rose from £20,519 in January 2011 to a peak of £52,938 in November, while monthly orders grew from 516 to 1,275 over the same span. The growth came from order volume rather than basket size: AOV stayed between about £35 and £49 in every month except June, when the single £38,970 picnic-basket order lifted revenue to £61,245 (£22,275 without it). This matters because the real trend is a steady autumn build-up, and the June peak should not be read as a repeatable high. Plan stock and staffing around the September–November ramp, and report revenue with and without bulk outliers so month-to-month comparisons stay reliable.



Top 10 countries by revenue (£)

2. Top-performing country vs AOV leader

The UK is the top market with £356,828 (86.3% of revenue) and 89.9% of orders, but the AOV leader is the Netherlands at £323.74 versus £44.39 in the UK, so they are different countries. The Dutch figure rests on just 47 orders from 7 customers, and one £4,992 order (2,400 Rabbit Night Lights) makes up about a third of its revenue; without it, Dutch AOV is roughly £220. Even so, non-UK orders average £62.42 against £44.39 for the UK, which suggests international customers place larger orders. Treat this as a hypothesis, and test it with a small wholesale-focused push in the Netherlands and Australia (AOV £156.50, 8 customers) before committing expansion budget.



Top 10 products by revenue (£)

3. Top products by revenue vs by quantity

By revenue, the Picnic Basket (£38,970, one order) leads, followed by Rabbit Night Light (£6,422), Regency Cakestand 3 Tier (£6,240) and Party Bunting (£5,431). By quantity, Rabbit Night Light leads with 2,947 units, followed by Pack of 12 London Tissues (2,218 units but only £807) and Blue Vintage Spot Beaker (1,940 units, £2,084). Only 3 of the top 10 appear on both lists (Rabbit Night Light, Jumbo Bag Red Retrospot, White Hanging Heart T-Light Holder), because low-priced items drive volume while higher-priced items like the Cakestand (£6,240 from 421 units) drive revenue. Use revenue rankings for pricing and range decisions, use quantity rankings for stock planning, and review bulk-driven items separately because their revenue depends on a few large orders.

4. Cancellation rate

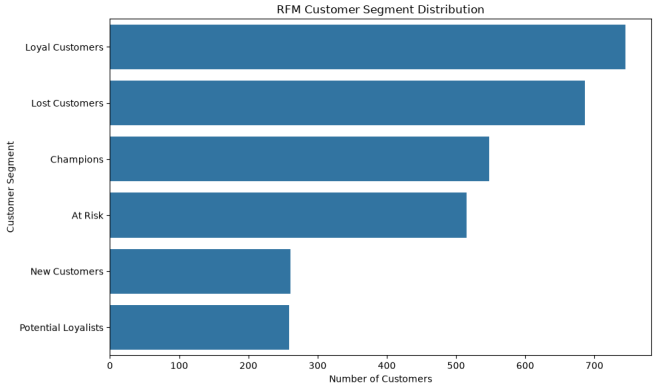
Cancelled lines are 344 of 20,000 (1.72%), and 308 of 9,372 invoices (3.29%) are cancellations, with a value of -£13,014, equal to 3.1% of net revenue. The data has no cancellation reason, so it cannot tell us whether the cause is stock-outs, wrong items or customer changes. At roughly 1 invoice in 30 and about 3% of revenue, this is modest rather than an operational alarm, though I have not sourced a benchmark to compare against. Record a cancellation reason at source and track the rate monthly, escalating only if it climbs.

5. Repeat customer rate

Of 3,014 identified customers, 1,580 (52.4%) ordered at least twice, averaging 2.69 orders each, and they generate 75.8% of identified revenue. Their median spend is £73.68 versus £17.70 for one-time buyers, so repeat buyers are disproportionately valuable. The rate looks reasonable, but 47.6% of customers bought only once, which makes the second purchase the main lever for growth. Introduce a post-purchase follow-up for first-time buyers, and note that order counts per customer may be understated because this is a 20K-row sample.

6. Pareto / customer concentration

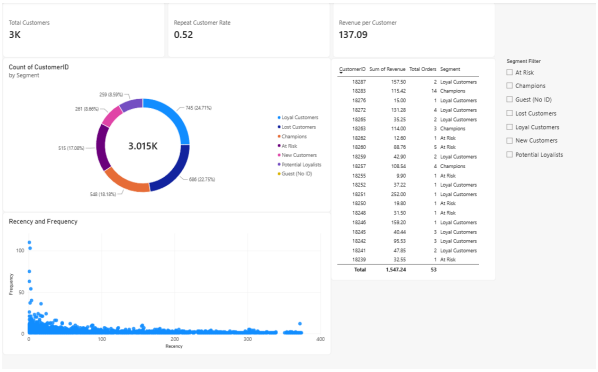
765 customers (25.4% of 3,014) generate 80% of identified revenue, and the top 10% generate 63.5%, so concentration is close to the classic 80/20 pattern but slightly less steep. One customer (ID 15098) alone accounts for 10.9% of identified revenue, entirely from the single £38,970 order; without that account, 28.5% of customers are needed to reach 80%. The risk is therefore less a handful of dependable key accounts and more reliance on a few large one-off orders on top of a mid-sized core. Offer the 548 Champions a dedicated loyalty or account-management programme, and forecast large bulk orders separately from baseline demand.



Customers per RFM segment

7. RFM segment distribution

Loyal Customers are the largest segment (745, 24.7% of customers) and Potential Loyalists the smallest (259, 8.6%), while Champions (548, 18.2%) generate 50.8% of identified revenue. Champions and Loyal together are 42.9% of customers and 66.2% of revenue, but At Risk (515, 17.1%; median recency 170 days) and Lost (686, 22.8%; median recency 239 days) together make up 39.9% of customers and 29.7% of revenue. The customer base has a strong core, but a large share of past buyers has gone quiet, and New plus Potential Loyalists (520 customers, 17.3%) are a small pipeline to replace them. Prioritise win-back offers for At Risk customers (still recent enough to recover), cheap reactivation for Lost, and a second-purchase incentive for New customers.



Power BI customer view: repeat rate 0.52 and segment mix (3,015 incl. guest bucket)

8. Declining products

Of 1,165 products with sales in October 2011, 278 (23.9%) fell in both November and December, and together they made up 46.9% of October product revenue. The December leg covers only 9 days, so the list overstates real decline and the October-to-November move is the more reliable signal. The largest case, Rabbit Night Light (£5,031 to £1,065 to £184), is mostly a one-off £4,992 Netherlands order in October, and the other large decliners are Wall Art Classic Puddings (£800 to £168 to £0) and Jumbo Bag Pink Vintage Paisley (£396 to £10 to £0). Re-run the test once a full December is available, and review only products that decline across full months and are not bulk-order artefacts.

9. Seasonality

Monthly revenue climbs from £29,201 in August to £37,345 in September, £47,390 in October and £52,938 in November, the highest month; excluding the June outlier, November is about 121% above the January–August monthly average. From October to November revenue rose 11.7% and orders rose 30.8% while AOV fell 14.6% (£48.60 to £41.50), which fits many smaller pre-Christmas orders. December 1–9 averaged about £1,615 per day versus about £1,765 per day in November, so the sample cannot show the late-December drop-off. Bring holiday campaigns forward into September and October, plan stock for October and November, and confirm the pattern against a second year of data.

Recommendations

- Win back At Risk customers (515) and run low-cost reactivation for Lost customers (686).

- Offer second-purchase incentives to New and Potential Loyalists (520 customers) to lift the 47.6% one-time-buyer share.
- Run a loyalty or account programme for the 548 Champions, who generate 50.8% of identified revenue.
- Move holiday marketing into September and October; plan stock for October and November.
- Pilot a wholesale-focused campaign in the Netherlands and Australia before committing expansion budget.
- Re-run the declining-product test with a full December and review bulk-driven items separately.

Risks, opportunities and limits

- Risk: one-off bulk orders (one is 9.4% of revenue) distort revenue, product rankings and customer concentration.
- Risk: 24.7% of lines have no CustomerID (13.9% of sales revenue), so customer insights cover 86.1% of revenue.
- Risk: results come from a 20K-row sample with an incomplete December; validate on the full dataset.
- Opportunity: win-back of At Risk and Lost customers (29.7% of identified revenue) and higher international order values, pilot first.
- Not calculable from this data: profit and margin (no cost data), demographics, cancellation reasons and marketing ROI.